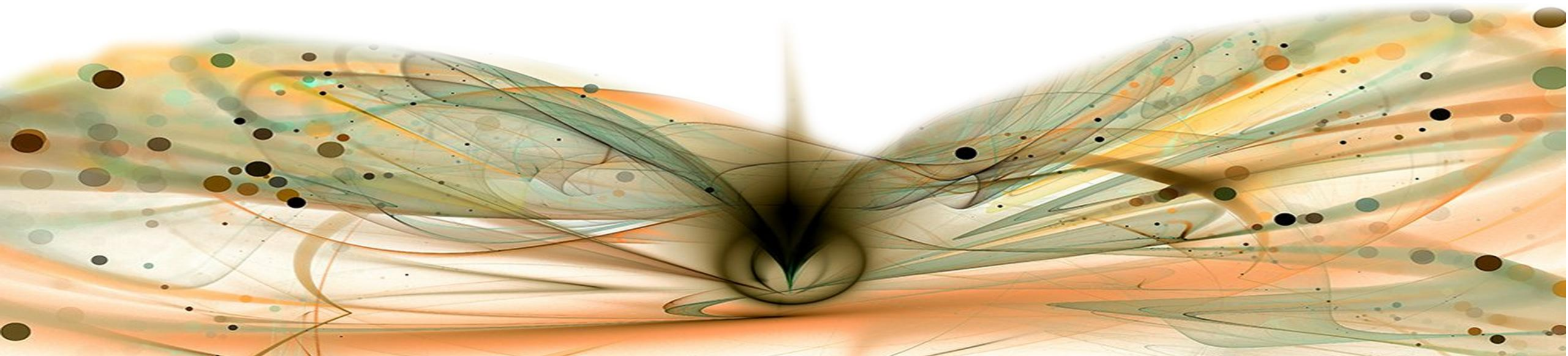


# {Philosophy of Marking and Consumption}

Episode 02



# Today's Transformers

- Disposition fallacy of marketing
- Building a new cognitive schema
- Initiate a new set of interpreters for solutions
- Establish the virtues of solutions

# What is a problem

Problem is where consumer has pains in her mind. These pains trigger a consumption. They are multi faceted, multi natured problems.



give your  
answer.

- a) Technology excellence
- b) Innovation
- c) Advertising and promotions
- d) Effective strategic decisions

**What is the secret behind the success?**

SOLUTION

# Think

marketing

# Marketing is

Understanding consumers, designing consumer solutions, and managing them for building profitable relationships through creating and growing markets.



Market

ing



When you see, touch,  
use, OR in any  
interaction with the  
product, the feeling you  
get is because of

# MARKETING



# what is being consumer centric

*Is it about asking what consumer wants and do what (s)he says?*

- To gain insights about the consumption and behaviours
- Not to purely act on assumptions or “inside” thinking of developers
- Understanding the dynamics of consumption
- Distributed nature of consumption and value experience (it is not confined to a single interaction instance, but spread across different touch points, modalities, time, and contexts)

# Let's Define it (...and forget it 😊)

Managerial process by which individuals and groups obtain what they need and want through creating and exchanging value with others.

(Philip Kotler)

Process whereby the resources of the whole organization are utilized to satisfy the needs of selected customer groups in order to achieve the objectives of both parties.  
Marketing is foremost an attitude of mind rather than a series of functional activities.

(McDonald)

# Main anchors

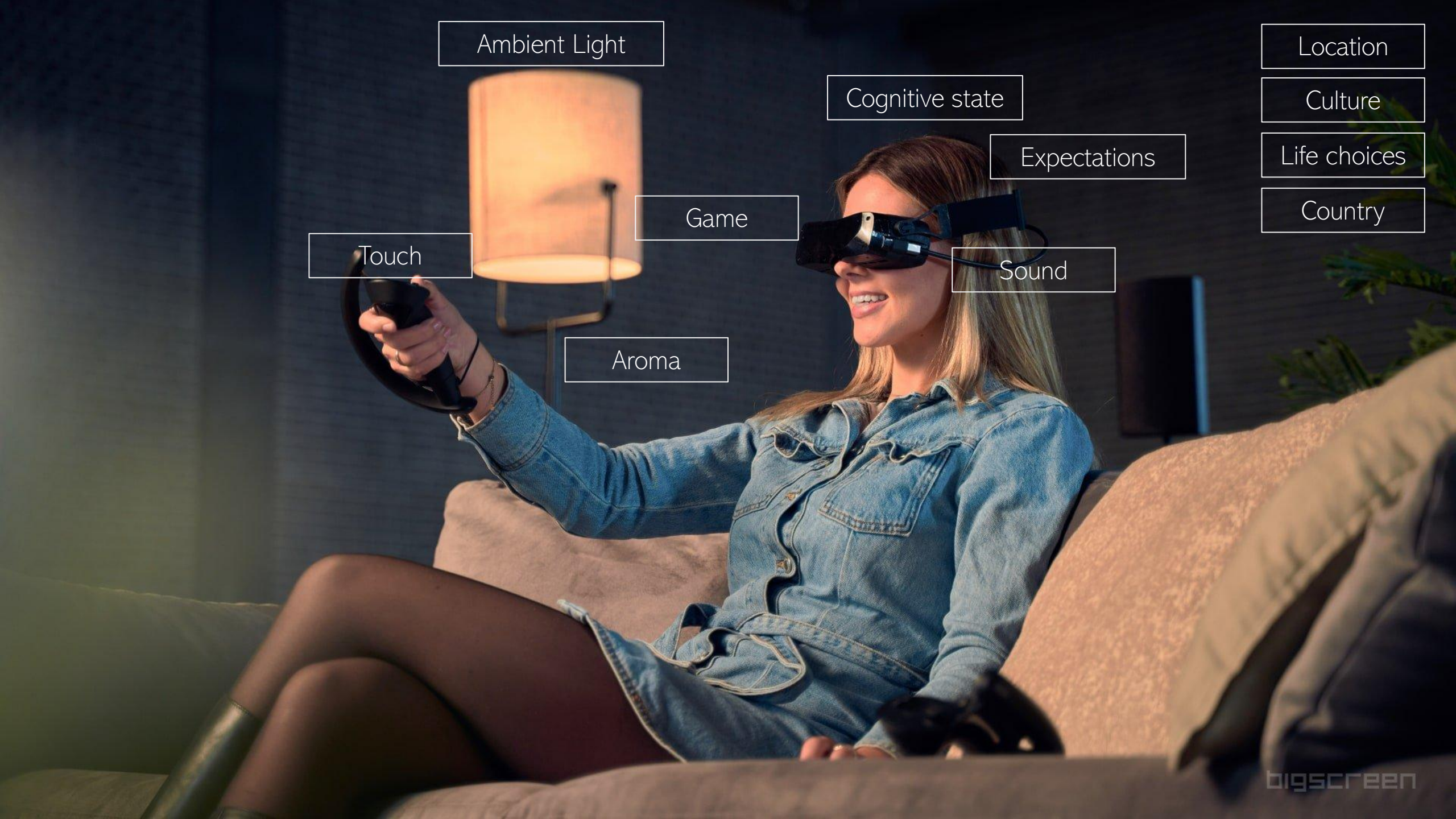
- Markets | equilibriums
- Consumption
- Value realization
- Consumer dynamics
- Forms
- Attribute compositions
- Contexts

It is a process of exchanging wealth. Wealth is captured in exchange of meaningful **value** to the customer.



What is this???





Ambient Light

Location

Cognitive state

Culture

Expectations

Life choices

Country

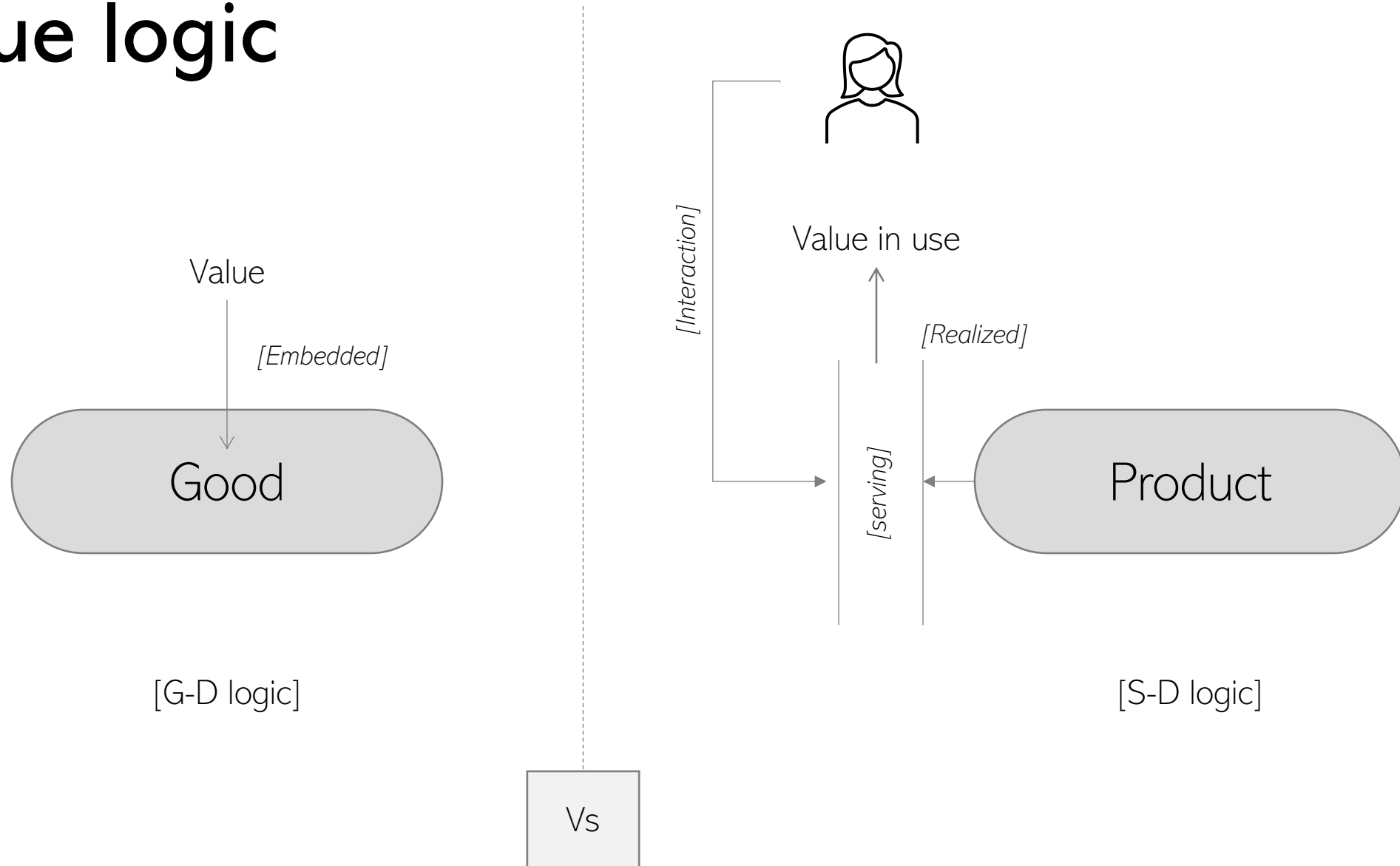
Game

Touch

Sound

Aroma

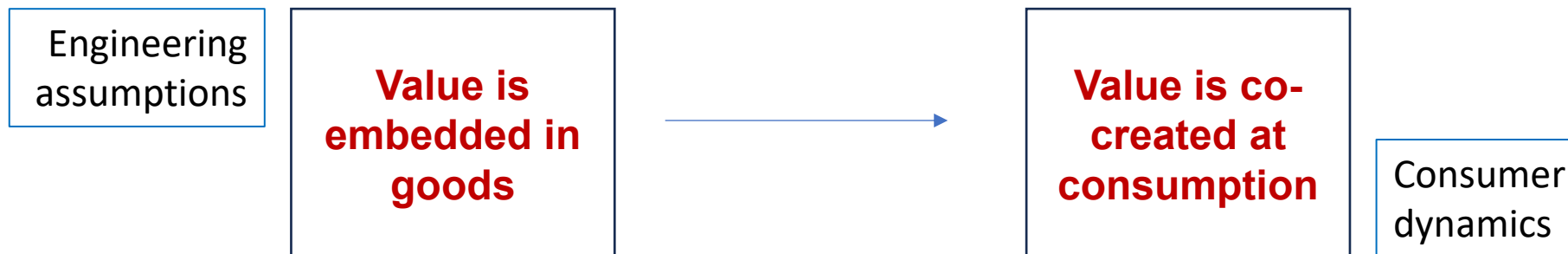
# Value logic



# Service dominant (S-D) logic for marketing

*"Economy depends on service, not on products"*

- Everything is a service
  - Even commodities are facilitators of services
- Focus is on intangibles, such as knowledge, skills, and relationships
- Knowledge is indirectly embedded in objects
  - Therefore, knowledge becomes the source of competitive advantage





# Consumer Co-creation

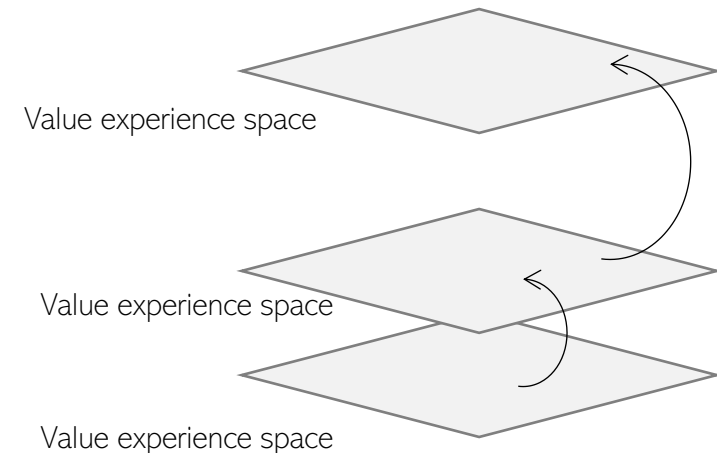
Fundamental assumption: On set value realization

- It is mainly experienced focus
- Getting consumers involved in ideation and value creation process
- Working consumers
- Focus on personalized consumer experiences through active interactions
- They are good at **getting an existing idea and develop on it** rather than a brand-new idea
  - Free the creativity and know-how of consumers and channel it to the organization
- No direct solutions, but future directions
- Organizations move from proprietary source of value to enabler and resource provider

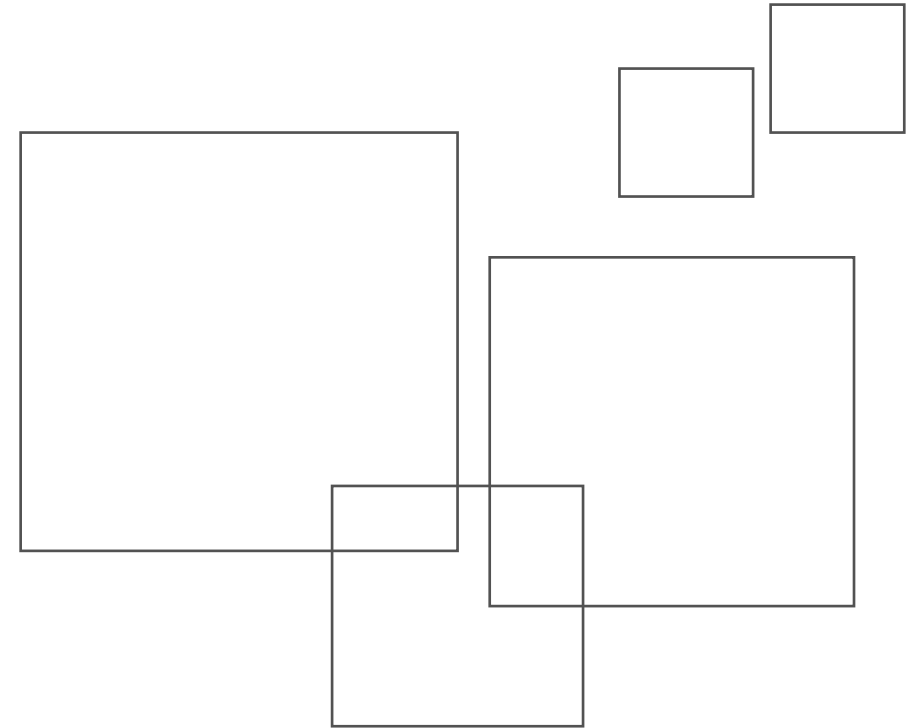
# Incremental cycles of value

- Value co-creation is incremental
- One set of values may set the stage for the other set of values to be realized
- Without the stage, it is unlikely that the next set of values to be realized

*This is why a consumer has  
no idea about what she  
needs. It is incremental and  
experience bound*



What we manage is not the  
relationships, but the consumer  
**EXPECTATIONS**  
and  
**FEELINGS.**





## In-class activity

Identify the value co-creation process in your level 01 project

# Is the consumer and her consumption independent?

Consumption occurs in a complex interactions of multi layered ecosystem





Natural Environment

Social Environment

Consumers

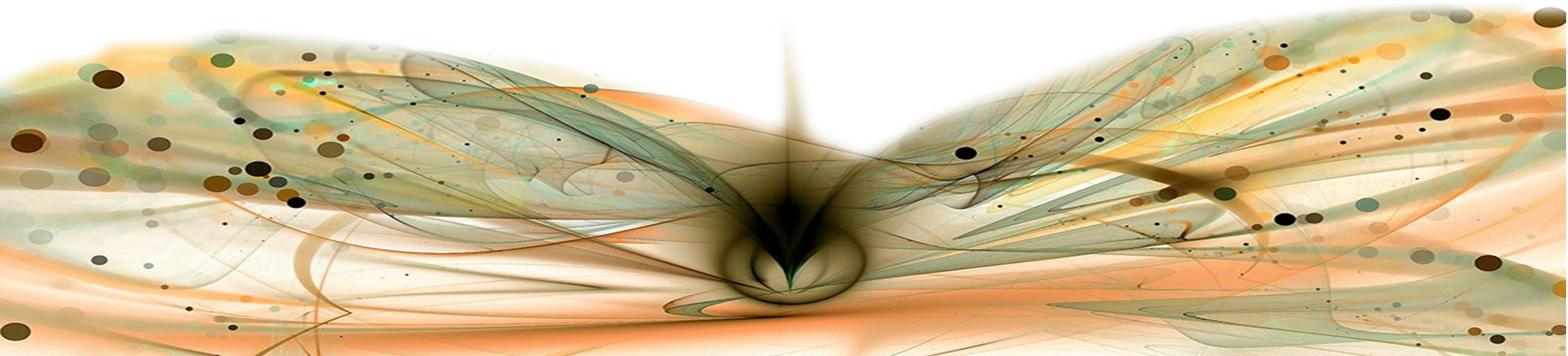
Protect your customer and the well-being of him/her through protecting the eco-system

Employees

Associated consumption



# Tools in Marketing





The Story of the

P



# Value Delivery System

- Every organization is a part of a large value delivery system.
- Value is not generated by single firm, but it is constantly being enhanced by each node of the network. Customer is the source of this network.
- Organizations should not only consider about end customers, but they should also consider about trade customers and the team that generate and delivers values.

# Expanded Model of Marketing

